

universe of stock pickers can't beat the market because of fees. Still, this year was an epic rout.

There's been a lot of ink spilled about why this is. I don't really care about these scribbles because we're all guessing. But secondly, even if we knew, it doesn't mean we'd be able to predict when things would change.

So, here's part one of my advice: don't try to chase returns, because doing so will cost you a lot of money over time.

Most people won't do that. Most people chase returns. As an example, consider one of my favorite studies of all time, by Dalbar. It showed that the average mutual fund earned a return of 13.8 percent per year over the length of the study. Yet the average investor in those funds earned just 7 percent. Why?

Because they took their money out after funds did poorly and put it back in after they had done well. Investors were constantly chasing returns.

A favorite example of mine is Ken Heebner's CGM Focus Fund. It was the best fund of the decade ending 2010. Heebner's fund turned in a sparkling 18 percent annualized return. Yet the typical investor in his fund earned just 11 percent. It's the same thing: people pulled money out when he had an off year and plowed back in after he had a great year.

I wrote about this in my first book, *Invest like a Dealmaker*. And the advice I gave there is still the advice I give today. To illustrate that advice, let's look at how Mohnish Pabrai answered a question put to him by *Barron's*.

Pabrai's fund has returned close to 10 percent annualized over the last 10 years, beating the S&P index by about 1.5 percentage points. But he's well behind the index this year. Here's *Barron's*:

When asked about this underperformance, he replied, "*I think it is an irrelevant data point. There is nothing intelligent that one can say about short periods like 10 months.* I never make investments with any thought to what will happen in a few months or even a year." (emphasis added)